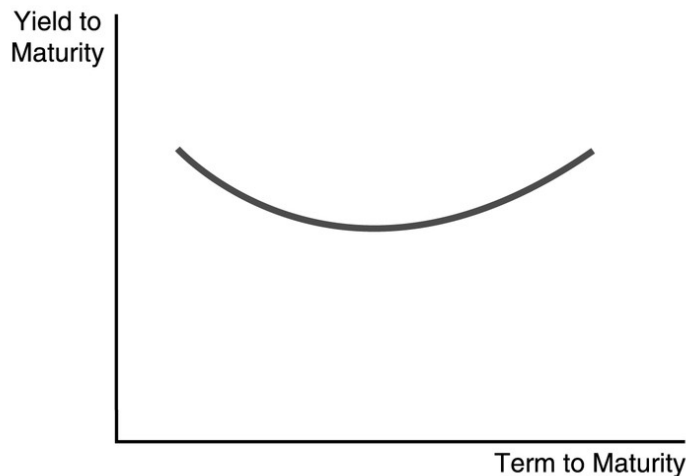


PART I: MULTIPLE CHOICE.

Choose the one alternative that best completes the statement or answers the question.

- 1) The risk structure of interest rates is 1) _____
 - A) the structure of how interest rates move over time.
 - B) the relationship among the term to maturity of different bonds.
 - C) the relationship among interest rates on bonds with different maturities.
 - D) the relationship among interest rates of different bonds with the same maturity.
- 2) The risk that interest payments will not be made, or that the face value of a bond is not repaid when a bond matures is 2) _____
 - A) liquidity risk.
 - B) default risk.
 - C) interest rate risk.
 - D) inflation risk.
- 3) U.S. government bonds have no default risk because 3) _____
 - A) they are backed with gold reserves.
 - B) the federal government can increase taxes or print money to pay its obligations.
 - C) they can be exchanged for silver at any time.
 - D) they are issued in strictly limited quantities.
- 4) If the possibility of a default increases because corporations begin to suffer losses, then the default risk on corporate bonds will _____, and the bonds' returns will become _____ uncertain, meaning that the expected return on these bonds will decrease, everything else held constant. 4) _____
 - A) decrease; less
 - B) increase; less
 - C) increase; more
 - D) decrease; more
- 5) Other things being equal, a decrease in the default risk of corporate bonds shifts the demand curve for corporate bonds to the _____ and the demand curve for Treasury bonds to the _____. 5) _____
 - A) right; right
 - B) right; left
 - C) left; left
 - D) left; right
- 6) Which of the following statements are TRUE? 6) _____
 - A) The expected return on corporate bonds decreases as default risk increases.
 - B) A decrease in default risk on corporate bonds lowers the demand for these bonds, but increases the demand for default-free bonds.
 - C) A corporate bond's return becomes less uncertain as default risk increases.
 - D) As their relative riskiness increases, the expected return on corporate bonds increases relative to the expected return on default-free bonds.
- 7) The collapse of the subprime mortgage market 7) _____
 - A) increased the Baa-Aaa spread.
 - B) did not affect the corporate bond market.
 - C) reduced the Baa-Aaa spread.
 - D) increased the perceived riskiness of Treasury securities.
- 8) If you have a very low tolerance for risk, which of the following bonds would you be least likely to hold in your portfolio? 8) _____
 - A) a corporate bond with a rating of Aaa
 - B) a municipal bond
 - C) a corporate bond with a rating of Baa
 - D) a U.S. Treasury bond
- 9) Everything else held constant, if the tax-exempt status of municipal bonds were eliminated, then 9) _____
 - A) the interest rates on municipal bonds would still be less than the interest rate on Treasury bonds.
 - B) the interest rates on municipal, Treasury, and corporate bonds would all increase.
 - C) the interest rate on municipal bonds would exceed the rate on Treasury bonds.
 - D) the interest rate on municipal bonds would equal the rate on Treasury bonds.

- 10) Stockholders are residual claimants, meaning that they 10) _____
A) are liable for all of a company's debts.
B) will never share in a company's profits.
C) receive the remaining cash flow after all other claims are paid.
D) have the first priority claim on all of a company's assets.
- 11) Three factors explain the risk structure of interest rates 11) _____
A) maturity, liquidity, and the income tax treatment of a security.
B) maturity, default risk, and the liquidity of a security.
C) liquidity, default risk, and the income tax treatment of a security.
D) maturity, default risk, and the income tax treatment of a security.
- 12) Differences in _____ explain why interest rates on Treasury securities are not all the same. 12) _____
A) time to maturity B) liquidity
C) risk D) tax characteristics
- 13) If the expected path of one-year interest rates over the next five years is 4 percent, 5 percent, 7 percent, 8 percent, and 6 percent, then the expectations theory predicts that today's interest rate on the five-year bond is 13) _____
A) 4 percent. B) 5 percent. C) 6 percent. D) 7 percent.
- 14) According to the expectations theory of the term structure 14) _____
A) buyers require an additional incentive to hold long-term bonds.
B) interest rates on bonds of different maturities move together over time.
C) buyers of bonds prefer short-term to long-term bonds.
D) the interest rate on long-term bonds will exceed the average of short-term interest rates that people expect to occur over the life of the long-term bonds, because of their preference for short-term securities.
- 15) According to the segmented markets theory of the term structure 15) _____
A) because of the positive term premium, the yield curve will not be observed to be downward-sloping.
B) the interest rate for each maturity bond is determined by supply and demand for that maturity bond.
C) bonds of one maturity are close substitutes for bonds of other maturities, therefore, interest rates on bonds of different maturities move together over time.
D) investors' strong preferences for short-term relative to long-term bonds explains why yield curves typically slope downward.
- 16) According to the liquidity premium theory of the term structure, a slightly upward sloping yield curve indicates that short-term interest rates are expected to 16) _____
A) rise in the future. B) remain unchanged in the future.
C) decline moderately in the future. D) decline sharply in the future.



- 17) The U-shaped yield curve in the figure above indicates that short-term interest rates are expected to _____
 A) remain unchanged in the near-term and rise later on.
 B) rise in the near-term and fall later on.
 C) fall sharply in the near-term and rise later on.
 D) fall moderately in the near-term and rise later on.
- 18) Using the one-period valuation model, assuming a year-end dividend of \$0.11, an expected sales price of \$110, and a required rate of return of 10%, the current price of the stock would be _____
 A) \$100.10. B) \$110.11. C) \$121.12. D) \$100.11
- 19) In the generalized dividend model, the current stock price is the sum of _____
 A) the present value of the future dividend stream.
 B) the present value of the future sales price.
 C) the actual value of the future dividend stream.
 D) the present value of the future dividend stream plus the actual future sales price.
- 20) Using the Gordon growth model, a stock's current price will increase if _____
 A) the expected sales price rises. B) the required rate of return on equity rises.
 C) the growth rate of dividends falls. D) the dividend growth rate increases.
- 21) Information plays an important role in asset pricing because it allows the buyer to more accurately judge _____
 A) capital. B) policy. C) liquidity. D) risk.
- 22) New information that might lead to a decrease in a stock's price might be _____
 A) a decrease in the required rate of return.
 B) an expected increase in the dividend growth rate.
 C) an expected increase in the future sales price.
 D) an expected decrease in the level of future dividends.
- 23) If expectations are formed adaptively, then people _____
 A) never change their expectations once they have been made.
 B) often change their expectations quickly when faced with new information.
 C) use only the information from past data on a single variable to form their expectations of that variable.
 D) use more information than just past data on a single variable to form their expectations of that variable.

- 24) In rational expectations theory, the term "optimal forecast" is essentially synonymous with _____
 A) the actual outcome. B) the correct guess.
 C) the best guess. D) correct forecast.
- 25) If a forecast made using all available information is NOT perfectly accurate, then it is _____
 A) not a rational expectation. B) an adaptive expectation.
 C) a second-best expectation. D) still a rational expectation.
- 26) According to rational expectations theory, forecast errors of expectations _____
 A) are more likely to be negative than positive.
 B) are more likely to be positive than negative.
 C) are unpredictable.
 D) tend to be persistently high or low.
- 27) Another way to state the efficient markets hypothesis is: in an efficient market _____
 A) unexploited profit opportunities will be quickly eliminated.
 B) all prices can be accurately predicted.
 C) unexploited profit opportunities will never exist.
 D) every financial market participant must be well informed about securities.
- 28) _____ occurs when market participants observe returns on a security that are larger than what is justified by the characteristics of that security and take action to quickly eliminate the unexploited profit opportunity. _____
 A) Asset capitalization B) Mediation
 C) Arbitrage D) Market intercession
- 29) The elimination of unexploited profit opportunities requires that _____ market participants be well informed. _____
 A) many B) all C) zero D) a few
- 30) Which of the following types of information most likely allows the exploitation of a profit opportunity? _____
 A) financial analysts' published recommendations
 B) technical analysis
 C) insider information
 D) hot tips from a stockbroker
- 31) A borrower who takes out a loan usually has better information about the potential returns and risk of the investment projects he plans to undertake than does the lender. This inequality of information is called _____
 A) adverse selection. B) noncollateralized risk.
 C) asymmetric information. D) moral hazard.
- 32) If bad credit risks are the ones who most actively seek loans then financial intermediaries face the problem of _____
 A) free-riding. B) moral hazard.
 C) adverse selection. D) costly state verification.
- 33) The problem faced by the lender that the borrower may take on additional risk after receiving the loan is called _____
 A) adverse selection. B) moral hazard.
 C) diversification. D) transactions costs.

- 34) Adverse selection is a problem associated with equity and debt contracts arising from 34) _____
 A) the borrower's lack of incentive to seek a loan for highly risky investments.
 B) the lender's relative lack of information about the borrower's potential returns and risks of his investment activities.
 C) the lender's inability to legally require sufficient collateral to cover a 100% loss if the borrower defaults.
 D) the lender's inability to restrict the borrower from changing his behavior once given a loan.
- 35) The free-rider problem occurs because 35) _____
 A) information can never be sold at any price.
 B) people who pay for information use it freely.
 C) people who do not pay for information use it.
 D) it is never profitable to produce information.
- 36) The concept of adverse selection helps to explain all of the following EXCEPT 36) _____
 A) why direct finance is more important than indirect finance as a source of business finance.
 B) why firms are more likely to obtain funds from banks and other financial intermediaries, rather than from the securities markets.
 C) why indirect finance is more important than direct finance as a source of business finance.
 D) why the financial system is so heavily regulated.
- 37) A problem for equity contracts is a particular type of _____ called the _____ problem. 37) _____
 A) adverse selection; principal-agent B) moral hazard; free-rider
 C) adverse selection; free-rider D) moral hazard; principal-agent
- 38) Moral hazard in equity contracts is known as the _____ problem because the manager of the firm has 38) _____
 fewer incentives to maximize profits than the stockholders might ideally prefer.
 A) adverse selection B) principal-agent
 C) debt deflation D) free-rider
- 39) The principal-agent problem would not occur if _____ of a firm had complete information about 39) _____
 actions of the _____.
 A) owners; customers B) managers; customers
 C) owners; managers D) managers; owners
- 40) Since they require less monitoring of firms, _____ contracts are used more frequently than _____ 40) _____
 contracts to raise capital.
 A) equity; stock B) debt; loan C) debt; equity D) equity; debt
- 41) A major disruption in financial markets characterized by sharp declines in asset prices and firm failures is 41) _____
 called a
 A) free-rider problem. B) financial crisis.
 C) "lemons" problem. D) fiscal imbalance.
- 42) A financial crisis occurs when an increase in asymmetric information from a disruption in the financial 42) _____
 system
 A) reduces uncertainty in the economy and increases market efficiency.
 B) increases economic activity.
 C) causes severe adverse selection and moral hazard problems that make financial markets incapable of channeling funds efficiently.
 D) allows for a more efficient use of funds.
- 43) Financial crises in advanced economies might start from a 43) _____
 A) debt deflation. B) currency mismatch.
 C) mismanagement of financial innovations. D) currency crisis.

- 44) When financial institutions go on a lending spree and expand their lending at a rapid pace they are participating in a _____ 44) _____
 A) credit boom. B) deleveraging. C) market race. D) credit bust.
- 45) When financial intermediaries deleverage, firms cannot fund investment opportunities resulting in _____ 45) _____
 A) an economic boom. B) a contraction of economic activity.
 C) an increased opportunity for growth. D) a call for government regulation.
- 46) When asset prices rise above their fundamental economic values, a(n) _____ occurs. 46) _____
 A) liability war B) decline in lending
 C) decrease in moral hazard D) asset-price bubble
- 47) Most U.S. financial crises have started during periods of _____ either after the start of a recession, a stock market crash, or the failure of a major financial institution. 47) _____
 A) low interest rates B) high financial regulation
 C) low asset prices D) high uncertainty
- 48) A substantial decrease in the aggregate price level that reduces firms' net worth may stall a recovery from a recession. This process is called _____ 48) _____
 A) debt deflation. B) insolvency. C) illiquidity. D) moral hazard.
- 49) A possible sequence for the three stages of a financial crisis might be _____ leads to _____ leads to _____ 49) _____
 _____.
 A) banking crises; increase in uncertainty; increase in interest rates
 B) asset price declines; banking crises; unanticipated decline in price level
 C) banking crises; increase in interest rates; unanticipated decline in price level
 D) unanticipated decline in price level; banking crises; increase in interest rates
- 50) If uncertainty about banks' health causes depositors to begin to withdraw their funds from banks, the country experiences a(n) _____ 50) _____
 A) reduction of the adverse selection and moral hazard problems.
 B) increase in information available to investors.
 C) financial recovery.
 D) banking crisis.

- 1) D
- 2) B
- 3) B
- 4) C
- 5) B
- 6) A
- 7) A
- 8) C
- 9) C
- 10) C
- 11) C
- 12) A
- 13) C
- 14) B
- 15) B
- 16) B
- 17) C
- 18) A
- 19) A
- 20) D
- 21) D
- 22) D
- 23) C
- 24) C
- 25) D
- 26) C
- 27) A
- 28) C
- 29) D
- 30) C
- 31) C
- 32) C
- 33) B
- 34) B
- 35) C
- 36) A
- 37) D
- 38) B
- 39) C
- 40) C
- 41) B
- 42) C
- 43) C
- 44) A
- 45) B
- 46) D
- 47) D
- 48) A
- 49) B
- 50) D